

**CALIFORNIA LEGISLATURE
2025–2026 REGULAR SESSION****ASSEMBLY / SENATE BILL No. _____**Introduced by: _____
Date: June ____, 2026

AN ACT

To amend and add provisions to the Government Code and Elections Code relating to the establishment of a statewide elected Secretary of Technology, elected County Technology Supervisors, and elected Municipal Directors of Technology; the structural overhaul of the California Department of Technology; a comprehensive framework for AI governance, accountability, and civil liberties protection; phased legacy IT modernization; algorithmic transparency and human review rights; Accountability impact assessments; vendor procurement standards; an independent Inspector General for Technology; and robust, enforceable whistleblower protections.

LEGISLATIVE COUNSEL'S DIGEST

Existing law establishes the California Department of Technology (CDT) within the Government Operations Agency. No state law currently creates elected technology accountability offices at the municipal, county, or state levels. No comprehensive statutory framework governs the civil liberties implications of AI systems used by state and local agencies.

This bill — the California Technology Overhaul and Democratic Governance Act of 2026 — makes the following structural reforms:

- (1) **ELECTED TECHNOLOGY LEADERSHIP HIERARCHY.** Establishes three tiers of directly elected technology accountability officers — a statewide Secretary of Technology, County Technology Supervisors in qualifying counties, and Municipal Directors of Technology in qualifying cities — creating a transparent, democratically accountable governance chain for public technology, modeled on the structural relationship between local District Attorneys, County District Attorneys, and the Attorney General.
- (2) **OFFICE OF AI DEMOCRATIC GOVERNANCE.** Establishes within the CDT an Office of AI Democratic Governance, headed by a Senate-confirmed Undersecretary who serves under the Secretary of Technology.
- (3) **ALGORITHMIC CIVIL LIBERTIES REVIEW BOARD.** Creates a nine-member independent Board with staggered terms and strict conflict-of-interest rules.
- (4) **LEGACY IT AUDIT AND MODERNIZATION.** Mandates a comprehensive, three-phase audit and decommissioning program for all state legacy IT systems.
- (5) **ALGORITHMIC TRANSPARENCY AND HUMAN REVIEW RIGHTS.** Requires notification, plain-language explanations, and guaranteed human review before any adverse automated decision becomes final.

- (6) ACCOUNTABILITY AND DISPARATE IMPACT ASSESSMENTS. Requires pre-deployment and annual Accountability impact assessments for all high-risk AI systems.
- (7) PROCUREMENT STANDARDS AND VENDOR ACCOUNTABILITY. Establishes mandatory contract standards for all state technology procurement involving AI systems.
- (8) INDEPENDENT INSPECTOR GENERAL FOR TECHNOLOGY. Creates an independent Inspector General with subpoena authority.
- (9) WHISTLEBLOWER PROTECTIONS. Enacts comprehensive protections with civil remedies of triple back-pay, reinstatement, and attorney's fees.
- (10) APPROPRIATIONS. Authorizes specific General Fund appropriations with performance benchmarks and annual fiscal accountability reports.

THE PEOPLE OF THE STATE OF CALIFORNIA DO ENACT AS FOLLOWS:

SECTION 1. SHORT TITLE

This Act shall be known and may be cited as the "California Technology Overhaul and Democratic Governance Act of 2026."

SEC. 2. FINDINGS AND DECLARATIONS

The Legislature hereby finds and declares all of the following:

- (a) Artificial intelligence and automated decision-making systems are increasingly used by California state and local agencies to make or substantially inform decisions affecting residents' legal rights, public benefits, housing, employment, education, and access to government services.
- (b) The proliferation of these systems without adequate transparency, oversight, or democratic accountability poses serious risks to constitutional rights guaranteed under Article I of the California Constitution.
- (c) Appointed officials and executive-branch administrators, however competent, lack the direct democratic mandate necessary to serve as the primary guarantors of the public interest in technology governance. The people of California have a right to elect the individuals responsible for overseeing how technology shapes their government.
- (d) A layered, elected accountability structure — from the municipal Director of Technology to the County Technology Supervisor to the statewide Secretary of Technology — creates genuine checks and balances on government technology, ensures that technology governance is accessible and transparent at every level of civic life, and mirrors the proven structure of prosecutorial accountability through the District Attorney and Attorney General system.
- (e) California state and local agencies collectively operate hundreds of information technology systems, many of which rely on obsolete architectures that consume disproportionate public resources and create significant cybersecurity vulnerabilities.

- (f) Residents of California have a fundamental right to know when automated systems are being used to make decisions affecting their lives and a right to meaningful human review of those decisions.
- (g) Whistleblowers who expose illegal, wasteful, or rights-violating uses of government technology serve a vital public interest and must be afforded robust, enforceable legal protections.

SEC. 3. DEFINITIONS

For the purposes of this Act, the following definitions apply:

- (a) "Artificial intelligence" or "AI" means any machine-based system that can, for a given set of objectives, make predictions, recommendations, or decisions influencing real or virtual environments, including but not limited to machine learning, neural networks, natural language processing, computer vision, generative AI models, and probabilistic reasoning systems.
- (b) "Automated decision" means any final, preliminary, or substantively influential determination made or generated in whole or material part by an AI or algorithmic system, without meaningful real-time human deliberation at the moment the output is produced.
- (c) "Consequential automated decision" means any automated decision that directly affects a California resident's: (1) legal rights or legal status; (2) eligibility for any public benefit; (3) public employment or licensure; (4) housing assistance or eligibility; (5) parole, probation, or pretrial release; (6) child welfare determination; or (7) access to any state-funded educational program.
- (d) "County Technology Supervisor" means an elected official established pursuant to Section 4.2 of this Act.
- (e) "Department" means the California Department of Technology (CDT).
- (f) "Director" means the Director of the California Department of Technology.
- (g) "High-risk AI system" means any AI system deployed by or on behalf of any State or local government entity that poses a significant risk of adverse effects on public health, safety, individual fundamental rights, or consumer privacy, including at minimum: any AI system informing consequential automated decisions; any AI system used in law enforcement or corrections; any AI system allocating emergency services; and any AI system processing biometric data.
- (h) "Legacy information technology system" means any state or local agency IT system that: (1) relies on programming languages or hardware for which vendor mainstream support has ceased; (2) has not received a security patch within 24 months; (3) cannot readily integrate with modern security protocols; or (4) presents an unacceptable documented operational or fiscal risk.
- (i) "Municipal Director of Technology" means an elected official established pursuant to Section 4.3 of this Act.
- (j) "Plain-language explanation" means a written statement written at or below an eighth-grade reading level, available in any language spoken by five percent or more of the affected service area's population, identifying the primary factors driving an automated determination, without unexplained technical jargon.
- (k) "Procurement contract" means any contract, purchase order, or agreement under which any vendor provides to any state or local governmental entity any AI system or automated decision-making service with a total value exceeding fifty thousand dollars (\$50,000).

- (l) "Secretary" means the Secretary of Technology elected pursuant to Section 4.1 of this Act.
- (m) "State agency" means any state agency, department, board, bureau, commission, office, or other entity in the executive branch of California state government.
- (n) "Undersecretary" means the Undersecretary for AI Governance appointed pursuant to Section 5.2.
- (o) "Vendor" means any private contractor, subcontractor, technology company, nonprofit, or research institution providing technology services or systems under a procurement contract.

SEC. 4. ELECTED TECHNOLOGY LEADERSHIP HIERARCHY

The Legislature hereby establishes a three-tiered, directly elected technology governance hierarchy for the State of California. This hierarchy is modeled on the structural checks and balances of the prosecutorial accountability system, wherein a Municipal Director of Technology serves as the first point of democratic accountability at the city level, a County Technology Supervisor serves at the county level, and the statewide Secretary of Technology serves as the supreme elected technology accountability officer for the State, analogous in function and democratic authority to the California Attorney General.

4.1 Statewide Secretary of Technology

4.1.1 Establishment and Election

- (a) There is hereby established the constitutional office of Secretary of Technology of the State of California.
- (b) The Secretary of Technology shall be elected by the qualified voters of the State of California at the same general election as the Governor, Lieutenant Governor, Attorney General, and other statewide constitutional officers, in accordance with the Elections Code.
- (c) The Secretary shall serve a four-year term commencing on the first Monday of January following the election. No person may serve more than two full terms as Secretary.
- (d) Candidates for Secretary of Technology shall appear on the ballot in the same manner as other statewide constitutional officers. The Secretary shall be elected on a nonpartisan basis; no party designation shall appear on the ballot in connection with the office of Secretary of Technology.
- (e) The Secretary shall receive a salary commensurate with that of the State Treasurer, as set by the Citizens Compensation Commission.
- (f) Vacancies in the office of Secretary of Technology shall be filled by appointment by the Governor, subject to confirmation by a majority of each house of the Legislature, until the next general election at which a successor may be elected for the remainder of the unexpired term.

4.1.2 Qualifications

- (a) Candidates for Secretary of Technology shall, at the time of filing their declaration of candidacy: (1) be a registered voter of the State of California; (2) possess a minimum of seven years of documented professional experience in technology, technology policy, technology law, computer science, data science, or a closely related field, or a combination thereof; and (3) have

no unresolved conflict of interest with a technology vendor as defined by the California Political Reform Act.

(b) The Secretary shall not, during their term of office, hold any other public office, maintain any financial interest in any technology vendor holding or seeking a state or local government technology contract, or serve on the board of any technology company.

4.1.3 Powers and Duties

The Secretary of Technology shall:

(a) Serve as the head of the California Department of Technology and as the chief technology accountability officer of the State of California, responsible to the people of California through the democratic process rather than through executive appointment.

(b) Appoint the Undersecretary for AI Governance established in Section 5, subject to Senate confirmation, and direct the operations of the Office of AI Democratic Governance.

(c) Set statewide technology governance policy, including: (1) the Risk-Maturity-Scope (RMS) classification framework for AI systems; (2) minimum cybersecurity and privacy standards for all state and qualifying local government technology systems; and (3) statewide standards for algorithmic transparency, Accountability assessment, and vendor accountability.

(d) Issue, with written findings, binding directives requiring any state agency or qualifying local government entity to cease operation of any AI system found to pose an imminent risk to constitutional rights, public safety, or data security. Any such directive shall be publicly published within 24 hours of issuance and shall remain in effect until rescinded by the Secretary or overturned by a court of competent jurisdiction.

(e) Exercise supervisory jurisdiction over County Technology Supervisors and Municipal Directors of Technology. In any matter where a county or municipal technology official has failed to act, or where a local technology system poses risks that transcend local jurisdiction, the Secretary may assume direct jurisdiction, issue binding remediation orders, and refer matters to the Attorney General.

(f) Publish and present to the Legislature and the public, not later than March 1 of each year, an Annual California Technology Accountability Report, which shall include: (1) a plain-language summary of all high-risk AI systems in operation statewide; (2) enforcement actions taken; (3) Accountability assessment findings; (4) the status of legacy IT modernization; and (5) a forward-looking technology policy agenda.

(g) Operate and maintain the California AI Systems Registry required by Section 5 as a publicly accessible, searchable, and downloadable resource.

(h) Appear before the Legislature at least twice per year to report on the state of technology governance and respond to legislative inquiries.

(i) Coordinate with the California Attorney General on enforcement of state and federal law related to technology, privacy, and civil rights.

4.1.4 Recall and Removal

(a) The Secretary of Technology may be recalled by the voters of the State of California in accordance with Article II, Section 13 of the California Constitution and the recall procedures applicable to other statewide elected officers.

- (b) The Secretary may be removed from office by impeachment proceedings pursuant to Article IV of the California Constitution.

4.2 County Technology Supervisor

4.2.1 Establishment and Applicability

- (a) There is hereby established the elected office of County Technology Supervisor in each county of the State of California with a total population exceeding one hundred thousand (100,000) residents, as determined by the most recent federal decennial census or any subsequent certified state population estimate issued by the Department of Finance.
- (b) In counties whose population falls below the threshold of this section, the technology accountability functions described herein shall be exercised by the Board of Supervisors, which shall designate one of its members as the County Technology Liaison, subject to the oversight of the Secretary. Counties below the threshold may, by majority vote of the Board of Supervisors, elect to establish the office of County Technology Supervisor through local ordinance.

4.2.2 Election and Terms

- (a) The County Technology Supervisor shall be elected countywide by the qualified voters of the county at the same consolidated election as members of the county Board of Supervisors, in accordance with the Elections Code.
- (b) The County Technology Supervisor shall serve a four-year term. No person may serve more than two full consecutive terms. A person may seek election again after sitting out one full term.
- (c) The County Technology Supervisor shall be elected on a nonpartisan basis. No party designation shall appear on the ballot in connection with this office.
- (d) Compensation shall be set by the county Board of Supervisors, provided that it shall not be less than the salary of a County Assessor in the same county.
- (e) Vacancies shall be filled by appointment by the Board of Supervisors within 60 days, with the appointee serving until the next regular election.

4.2.3 Qualifications

- (a) Candidates for County Technology Supervisor shall: (1) be a registered voter of the county; (2) possess a minimum of five years of documented professional experience in technology, technology policy, technology law, data science, public administration of technology programs, or a combination thereof; and (3) comply with county campaign finance and conflict-of-interest disclosure requirements.

4.2.4 Powers and Duties

The County Technology Supervisor shall:

- (a) Serve as the chief technology accountability officer for the county, responsible for overseeing and ensuring the transparent, equitable, and lawful deployment of all AI systems, automated

decision systems, and major information technology systems operated by the county or by county contractors.

(b) Conduct or commission annual audits of all county high-risk AI systems for compliance with this Act and with the standards set by the Secretary, and publish audit findings in plain language within 30 days of completion.

(c) Review and publicly post all county procurement contracts for AI or automated decision systems within 30 days of contract execution, redacting only information specifically exempt under the California Public Records Act.

(d) Receive, investigate, and resolve complaints from county residents regarding consequential automated decisions made by county agencies, including ensuring the availability of the human review rights required by Section 8.

(e) Issue binding compliance orders to county departments requiring remediation of AI systems found to violate this Act, the standards of the Secretary, or the constitutional rights of county residents.

(f) Exercise supervisory jurisdiction over Municipal Directors of Technology within the county. Where a municipal technology official has failed to act, or where a municipal AI system poses risks that affect the broader county population, the County Technology Supervisor may assume jurisdiction, issue remediation orders, and escalate to the Secretary.

(g) Submit an annual County Technology Accountability Report to the Board of Supervisors, the Secretary, and the public, detailing all AI systems in county operation, audit findings, complaint resolutions, and procurement activities.

(h) Coordinate with the Secretary and with Municipal Directors of Technology to ensure consistent implementation of statewide technology governance standards at the local level.

4.3 Municipal Director of Technology

4.3.1 Establishment and Applicability

(a) There is hereby established the elected office of Municipal Director of Technology in each incorporated city or town in the State of California with a total population exceeding ten thousand (10,000) residents, as determined by the most recent federal decennial census or any subsequent certified state population estimate.

(b) In municipalities whose population falls below the threshold, technology accountability functions shall be exercised by the City Council, which shall designate a Technology Liaison Councilmember, subject to oversight by the County Technology Supervisor. Municipalities below the threshold may, by majority vote of the City Council, establish the office of Municipal Director of Technology through local ordinance.

4.3.2 Election and Terms

(a) The Municipal Director of Technology shall be elected citywide by the qualified voters of the municipality at the same consolidated election as members of the City Council, in accordance with the Elections Code and the municipality's charter.

(b) The Municipal Director of Technology shall serve a four-year term. No person may serve more than two full consecutive terms.

(c) The Municipal Director of Technology shall be elected on a nonpartisan basis.

- (d) Compensation shall be set by the City Council, provided that it shall not be less than the salary of the city's Finance Director or equivalent senior city officer.
- (e) Vacancies shall be filled by appointment by the City Council within 45 days, with the appointee serving until the next regular municipal election.

4.3.3 Qualifications

(a) Candidates for Municipal Director of Technology shall: (1) be a registered voter of the municipality; (2) possess a minimum of three years of documented professional experience in technology, technology policy, data governance, public administration, community advocacy related to technology, or a combination thereof; and (3) comply with applicable municipal campaign finance and conflict-of-interest disclosure requirements.

4.3.4 Powers and Duties

The Municipal Director of Technology shall:

- (a) Serve as the chief technology accountability officer for the municipality, responsible for overseeing the transparent, equitable, and lawful deployment of all AI systems, automated decision systems, and major information technology systems operated by the city or by city contractors.
- (b) Conduct or commission annual audits of all municipal high-risk AI systems and publish audit findings in plain language within 30 days.
- (c) Review and publicly post, within 30 days of execution, all municipal procurement contracts for AI or automated decision systems.
- (d) Operate a publicly accessible, free resident complaint intake process through which any city resident may report concerns about any municipal AI or automated decision system.
- (e) Ensure that city residents receive the notification, plain-language explanation, and human review rights required by Section 8 for all consequential automated decisions made by city agencies.
- (f) Issue compliance orders to city departments requiring remediation of AI systems found to violate this Act or the standards of the Secretary or County Technology Supervisor.
- (g) Submit an annual Municipal Technology Accountability Report to the City Council, the County Technology Supervisor, and the public.
- (h) Hold at least two public community meetings per year at which residents may raise concerns, receive information, and provide input on the city's use of technology systems. Meetings shall be held at accessible locations, at hours convenient to working residents, and with language interpretation services available upon request with 72 hours' notice.

4.4 Hierarchy, Checks, and Supervisory Authority

(a) **ANALOGOUS STRUCTURE.** The relationship among the Municipal Director of Technology, the County Technology Supervisor, and the Secretary of Technology is structurally analogous to the relationship among a city's prosecutorial or legal accountability function, a County District Attorney, and the California Attorney General. Each level operates independently within its jurisdiction, each is directly accountable to the voters of that jurisdiction, and each

higher level retains supervisory authority to ensure accountability when a lower level fails to act or when a matter transcends local boundaries.

(b) **INDEPENDENT JURISDICTION.** Each elected technology officer exercises independent jurisdiction over the government entities within their territory and is not required to seek approval from a higher-level officer before exercising their lawful authority. The Secretary may not direct a County Technology Supervisor or Municipal Director of Technology on matters of local policy judgment, but may issue binding standards under Section 4.1.3(c) with which all local officers must comply.

(c) **SUPERVISORY ASSUMPTION OF JURISDICTION.** Where: (1) a municipal or county technology officer has failed to initiate an investigation or enforcement action within 60 days of receiving a credible complaint; (2) an AI system or technology practice operating at the local level poses risks that affect residents of multiple jurisdictions; or (3) the Secretary or County Technology Supervisor has reason to believe a conflict of interest or misconduct prevents a lower-level officer from acting impartially, the higher-level officer may assume jurisdiction, conduct an independent investigation, and issue binding orders, with written notice to the lower-level officer and to the affected jurisdiction's governing body.

(d) **ESCALATION DUTY.** If a Municipal Director of Technology investigates a matter and concludes that a violation involves county-level systems, county contracts, or patterns transcending the city's boundaries, they shall promptly notify the County Technology Supervisor and cooperate fully with a county-level investigation. The same duty applies from the County Technology Supervisor to the Secretary where matters transcend county boundaries or involve state-level systems.

(e) **ANNUAL COORDINATION SUMMIT.** The Secretary shall convene at least one annual statewide Technology Governance Summit, open to the public, to which all County Technology Supervisors and, by regional representation, Municipal Directors of Technology shall be invited, for the purpose of sharing findings, aligning standards, addressing emerging issues, and presenting a unified public accountability report to the people of California.

4.5 Conflict of Interest, Ethics, and Transparency

(a) All elected technology officers at every level shall file comprehensive annual financial disclosure statements pursuant to the Political Reform Act of 1974 (Government Code § 81000 et seq.), disclosing all financial interests in any technology company, technology vendor, or digital infrastructure entity.

(b) No elected technology officer may, for a period of two years following the end of their term, accept employment with, serve as a consultant to, or hold a financial interest exceeding one thousand dollars (\$1,000) in any private technology vendor that held a government technology contract within their jurisdiction during their term of office.

(c) All official communications, reports, audits, directives, compliance orders, and enforcement actions taken by any elected technology officer shall be published on a publicly accessible, machine-readable government website within five business days of issuance. All such records shall be deemed public records under the California Public Records Act.

(d) Each elected technology officer shall maintain a publicly accessible, plain-language website describing: (1) their jurisdiction and powers; (2) how residents may file complaints; (3) all AI systems under their oversight; (4) current enforcement actions; and (5) their contact information.

4.6 Staffing and Resources

- (a) Each qualifying county and municipality shall appropriate sufficient funds to staff the offices established by this section at a level adequate to fulfill the duties described herein. The Secretary shall publish minimum staffing guidance for offices of different jurisdictional sizes, updated biennially.
- (b) The Secretary shall establish a shared technical assistance program available at no cost to County Technology Supervisors and Municipal Directors of Technology, providing access to auditing tools, legal guidance, model policies, and staff training.
- (c) For municipalities with populations between 10,000 and 50,000, the Secretary's office shall provide a subsidized part-time technical support staff member to assist the elected Municipal Director of Technology in carrying out audit and compliance functions, funded from the appropriations established in Section 14.

SEC. 5. OFFICE OF AI DEMOCRATIC GOVERNANCE

5.1 Establishment

There is hereby established within the California Department of Technology an Office of AI Democratic Governance (hereinafter "the Office"), which shall operate under the direction of the Secretary of Technology.

5.2 Leadership

- (a) The Office shall be headed by an Undersecretary for AI Governance, who shall be appointed by the Secretary of Technology and confirmed by the Senate.
- (b) The Undersecretary shall possess demonstrated expertise in at least two of the following areas: (1) artificial intelligence or machine learning; (2) technology law, civil liberties, or privacy law; (3) public administration or government technology policy; or (4) digital Accountability or community advocacy.
- (c) The Undersecretary serves at the pleasure of the Secretary but may not be removed for reasons of political retaliation or for exercising any duty required under this Act. Any removal action shall be accompanied by a written statement of reasons, published publicly within five days.
- (d) The Undersecretary shall publicly disclose, upon appointment and annually thereafter, all financial interests and prior employment relationships with technology vendors for the five years preceding appointment.

5.3 Powers and Duties

The Office shall:

- (a) Formulate and publish, under the direction of the Secretary, statewide security and consumer privacy protocols governing the development, procurement, deployment, and decommissioning of

high-risk AI systems by state agencies, as binding administrative guidance enforceable under the Administrative Procedure Act.

(b) Develop, maintain, and publish the uniform state Risk-Maturity-Scope (RMS) classification framework, updated at least biennially.

(c) Conduct or commission compliance audits of any state agency's AI systems, with authority to demand documents, data, and testimony.

(d) Issue cease-and-suspend orders, subject to administrative appeal and the Secretary's review, requiring a state agency to halt use of any AI system posing an imminent risk of rights violations or security breaches.

(e) Refer credible evidence of statutory or constitutional violations to the California Attorney General.

(f) Support the Secretary in publishing the Annual California Technology Accountability Report and maintaining the California AI Systems Registry.

(g) Provide free technical assistance and implementation guidance to County Technology Supervisors, Municipal Directors of Technology, and school districts.

SEC. 6. STATE ALGORITHMIC CIVIL LIBERTIES REVIEW BOARD

6.1 Establishment

There is hereby established within the Office an independent State Algorithmic Civil Liberties Review Board (hereinafter "the Board").

6.2 Composition and Appointment

(a) The Board shall consist of nine members: three appointed by the Secretary of Technology; three appointed by the Senate Committee on Rules; and three appointed by the Speaker of the Assembly.

(b) Board membership shall collectively represent: (1) academic research in AI or data science; (2) civil liberties or constitutional law; (3) consumer privacy advocacy; (4) organized technology labor; (5) community organizations serving populations historically subject to algorithmic discrimination; and (6) public health or social services administration.

(c) No more than three members may be current employees of any private technology company with active state contracts. Members shall recuse themselves from any matter involving a conflict of interest.

(d) Members shall serve staggered four-year terms, with no more than two consecutive terms. Initial appointments shall be staggered by lot.

(e) Members shall serve without compensation but shall be reimbursed for reasonable and necessary expenses.

(f) Vacancies shall be filled by the original appointing authority within 60 days.

6.3 Powers and Duties

- (a) Review all high-risk AI systems used by state agencies for compliance with: (1) privacy, due process, and equal protection under Article I of the California Constitution; (2) the California Consumer Privacy Act; (3) the Unruh Civil Rights Act; and (4) applicable federal civil rights statutes.
- (b) Issue public advisory opinions on algorithmic due process upon request by the Secretary, any state department, any County Technology Supervisor or Municipal Director of Technology, any member of the Legislature, or any affected California resident.
- (c) Hold at least four publicly noticed meetings per year, including at least one in Northern California and one in Southern California, pursuant to the Bagley-Keene Open Meeting Act.
- (d) Submit an annual report to the Legislature, the Secretary, and the public containing findings, advisory opinions, and specific recommendations.
- (e) Establish a public petition process by which any resident may request a Board investigation of a specific AI system or automated decision practice.

SEC. 7. STATE LEGACY IT AUDIT AND WASTE REDUCTION MANDATE

7.1 Mandate

The Secretary shall direct the Department to conduct a comprehensive, phased structural audit of all state agency information technology systems and AI deployments, conducted by independent auditors through a competitive bidding process, with results subject to review by the California State Auditor.

7.2 Audit Phases

- (a) Phase I (Months 1–18): Complete inventory and risk assessment of the ten state agencies with the highest annual IT expenditures, resulting in a Phase I Report submitted to the Legislature, the Secretary, and published publicly.
- (b) Phase II (Months 18–36): Audit all remaining state agencies, boards, and commissions, publishing a consolidated State Legacy IT Remediation Plan.
- (c) Phase III (Months 36–60): Systematic decommissioning and replacement of identified legacy IT systems, with written progress reports to the Legislature and the Secretary every 180 days.

7.3 Fiscal Accountability

- (a) The Director shall annually certify to the Legislature and the Secretary, under penalty of perjury, that technology modernizations have measurably reduced administrative duplication, minimized financial waste, and improved cybersecurity posture.
- (b) The Department shall prioritize domestic open-source solutions where cost-competitive and security-compliant, documenting its rationale in any procurement decision selecting a proprietary over a qualifying open-source alternative.

SEC. 8. ALGORITHMIC TRANSPARENCY AND HUMAN REVIEW RIGHTS

8.1 Notification Requirements

Any state or local government agency using an AI or automated system to make or substantially inform a consequential automated decision shall:

- (a) Provide the affected individual, prior to or simultaneously with the determination, written notice that: (1) identifies that an AI system was used; (2) names the system and its general purpose; (3) describes categories of data inputs; and (4) explains the individual's rights under this section.
- (b) Provide, within ten business days of request at no cost, a plain-language explanation of the automated basis for the determination.
- (c) Provide, within 30 calendar days of request and at no cost, a full human review by an authorized official with subject-matter expertise who has authority to independently modify or reverse the determination, accompanied by a written decision explaining the reviewer's reasoning.

8.2 No Final Adverse Action Without Human Authorization

No state or local agency may issue a final adverse consequential automated decision based solely on the output of an AI or automated system without independent human authorization by a qualified agency official, documented in the individual's record.

8.3 Public AI Systems Registry

Each agency subject to this section shall maintain a publicly accessible registry of all AI and automated decision systems it operates, updated within 30 days of any material change, and certified to the relevant elected technology officer annually.

8.4 Enforcement

- (a) An individual denied rights under this section may file a complaint with the relevant elected technology officer (Municipal Director of Technology, County Technology Supervisor, or Secretary, as appropriate to the agency involved).
- (b) An agency found to have systematically violated this section may be subject to a civil penalty not to exceed ten thousand dollars (\$10,000) per violation per day.
- (c) An individual aggrieved by a violation may bring a private civil action for actual damages, injunctive relief, and reasonable attorney's fees and costs.

SEC. 9. Accountability AND DISPARATE IMPACT ASSESSMENTS

9.1 Pre-Deployment Assessment Required

Before any state or qualifying local agency deploys or materially modifies a high-risk AI system, the agency shall complete and publish an Accountability and Disparate Impact Assessment (EDIA), approved by the relevant elected technology officer before deployment may proceed.

9.2 Content of Assessment

Each EDIA shall include: (a) purpose and intended scope of deployment; (b) analysis of potential disparate adverse outcomes across protected classes; (c) specific disparity thresholds triggering remediation; (d) technical and procedural safeguards; (e) documentation of community engagement; and (f) a certification by the agency head under penalty of perjury.

9.3 Annual Monitoring and Remediation

- (a) Each agency operating a high-risk AI system shall publish an annual disparity monitoring report measuring actual outcomes against EDIA thresholds.
- (b) If a system has produced outcomes at or beyond a disparity threshold, the agency shall within 90 days notify the relevant elected technology officer, submit a remediation plan for approval, and implement the plan within 180 days.

SEC. 10. PROCUREMENT STANDARDS AND VENDOR ACCOUNTABILITY

10.1 Minimum Contract Requirements

Every procurement contract for a high-risk AI system shall include as material terms: (a) full algorithmic transparency documentation available to the relevant elected technology officer upon request; (b) unconditional audit rights for the Secretary, County Technology Supervisor, Municipal Director of Technology, or Inspector General; (c) exclusive State or local data ownership with no vendor retention or third-party sharing; (d) 48-hour incident reporting; (e) annual independent bias-testing certification; and (f) termination-for-cause provisions upon imminent rights or safety risk.

10.2 Debarment

A vendor found by a court or by the Secretary following formal adjudication to have knowingly misrepresented the capabilities, bias-testing results, or compliance status of an AI system shall be ineligible for new state or local government technology contracts for five years.

10.3 No Algorithmic Black Boxes for Consequential Decisions

No agency may contract for any AI system informing consequential automated decisions if the contract terms or system architecture would prevent the agency from providing the plain-language explanations and documentation required by Sections 8 and 9, regardless of any proprietary claim by the vendor.

SEC. 11. OFFICE OF THE INSPECTOR GENERAL FOR TECHNOLOGY

11.1 Establishment

There is hereby established an independent Office of the Inspector General for Technology ("Tech IG"), separate from and not subordinate to the Department, any state agency, or any elected technology officer. The Tech IG provides independent oversight of all government technology activities, including the conduct of elected technology officers themselves.

11.2 Appointment and Independence

- (a) The Inspector General shall be appointed by the Governor, subject to confirmation by a two-thirds vote of each house, and shall serve a single non-renewable six-year term.
- (b) The Inspector General may be removed only for cause upon a two-thirds vote of each house.
- (c) The Inspector General shall not hold other public office, maintain financial interests in any technology vendor, or engage in outside employment during their term.

11.3 Powers and Duties

- (a) Conduct independent investigations into any allegation of waste, fraud, abuse, misuse, or rights violations related to any AI or technology system operated by any state or qualifying local government entity, including the offices of elected technology officers.
- (b) Exercise subpoena authority to compel documents, data, and testimony from any state or local agency official, employee, elected technology officer, or technology vendor.
- (c) Refer findings to the Attorney General or any appropriate prosecutorial authority.
- (d) Publish semiannual public reports summarizing investigations, findings, referrals, and systemic recommendations.
- (e) Operate a secure, anonymous whistleblower intake system.

SEC. 12. CALIFORNIA AI WHISTLEBLOWER PROTECTION ACT

12.1 Protected Activities

No state or local agency, contractor, or grant recipient shall discriminate against any employee or contractor because that person: (a) reported evidence of AI-related legal violations, gross waste, civil rights violations, or vendor misrepresentations to the Inspector General, Secretary, County Technology Supervisor, Municipal Director of Technology, State Auditor, Attorney General, Legislature, or public; (b) refused to participate in activities they reasonably believed constituted statutory or constitutional AI-related violations; (c) assisted in any investigation under this Act; or (d) testified before any legislative, administrative, or judicial body on matters covered by this Act.

12.2 Remedies

A prevailing complainant shall be entitled to: (1) reinstatement with full seniority rights; (2) three times the amount of back pay lost; (3) reimbursement for lost benefits; (4) reasonable attorney's fees and costs; and (5) any other legal or equitable relief the court deems appropriate. Supervisors found to have knowingly directed retaliation shall be personally liable for not less than five thousand dollars (\$5,000) per retaliatory act.

12.3 Anti-Waiver and Confidential Disclosure

- (a) No nondisclosure agreement, employment contract, or settlement agreement may prevent a protected disclosure under this section. Any such provision is void as against public policy.
- (b) The Inspector General shall maintain a secure, confidential anonymous intake channel for protected disclosures under this section.

SEC. 13. SPECIAL PROTECTIONS FOR VULNERABLE POPULATIONS

13.1 Children and Youth

Any agency operating a high-risk AI system affecting individuals under 18 shall: (a) apply the highest RMS risk classification; (b) complete a child-focused Accountability assessment in consultation with child welfare advocates and youth-serving organizations; and (c) ensure human review rights under Section 8 apply to a parent, guardian, or designated child advocate.

13.2 Older Adults and Persons with Disabilities

All notification and plain-language materials shall comply with ADA and Government Code Section 11135 accessibility requirements, including large print, audio, and screen-reader formats. Agencies shall designate an accessibility coordinator to ensure compliance.

SEC. 14. APPROPRIATIONS AND FISCAL ACCOUNTABILITY

14.1 Initial Appropriations

- (a) Twenty-five million dollars (\$25,000,000) to the CDT for the Office of AI Democratic Governance.
- (b) Ten million dollars (\$10,000,000) to the Office of the Secretary of Technology for operations, staffing, and the Technical Assistance Program for local elected technology officers.
- (c) Five million dollars (\$5,000,000) to the Office of the Inspector General for Technology.
- (d) Fifteen million dollars (\$15,000,000) for Phase I of the Legacy IT Audit.
- (e) Two million dollars (\$2,000,000) to the State Personnel Board for whistleblower complaint proceedings.
- (f) Three million dollars (\$3,000,000) for the subsidized technical support staff program for small municipalities pursuant to Section 4.6(c).

14.2 Fiscal Performance Reports

The Secretary shall submit to the Legislature and the Department of Finance, not later than October 1 of each year, a Fiscal Performance Report detailing expenditures, measurable outcomes, and a proposed budget for the following fiscal year.

SEC. 15. INTERAGENCY COORDINATION

The Secretary and the Office shall coordinate with: (a) CalHR, on civil service and HR-related AI; (b) the Department of Justice and Attorney General, on civil rights enforcement; (c) the California Privacy Protection Agency, on privacy standards; (d) the Department of Finance, on budget oversight; and (e) the California State Auditor, on legacy IT audit verification.

SEC. 16. REGULATIONS

The Secretary shall direct the Office to adopt implementing regulations pursuant to the Administrative Procedure Act, initiating rulemaking within 180 days of the effective date and completing initial regulations within 18 months of the effective date.

SEC. 17. SUNSET AND LEGISLATIVE REVIEW

The Legislature shall, no later than December 31, 2031, conduct a comprehensive review of this Act, including public hearings at which the Secretary, Inspector General, Board, County Technology Supervisors, Municipal Directors of Technology, technology vendors, civil rights organizations, labor unions, and community members shall be invited to testify.

SEC. 18. CONSTRUCTION

This Act shall be liberally construed to effectuate its purposes of promoting algorithmic accountability, protecting individual civil liberties, reducing public waste, and ensuring transparent, democratically accountable governance of artificial intelligence systems at every level of California government.

SEC. 19. SEVERABILITY

The provisions of this Act are severable. If any provision or its application is held invalid, that invalidity shall not affect other provisions or applications that can be given effect without the invalid provision.

SEC. 20. EFFECTIVE DATE

This Act shall take effect January 1, 2027, except as follows:

- (a) Whistleblower protections of Section 12 take effect immediately upon enactment.

- (b) Elections for the Secretary of Technology shall first occur at the November 2026 general election; the Secretary shall take office January 2027.
- (c) Elections for County Technology Supervisors and Municipal Directors of Technology shall first occur at the next regularly scheduled consolidated election occurring after January 1, 2027, in each jurisdiction.
- (d) Procurement standards of Section 10 apply to contracts entered or renewed on or after July 1, 2027.
- (e) Algorithmic transparency and human review rights of Section 8 apply to all consequential automated decisions issued on or after January 1, 2028, to allow implementation of compliant notification systems, provided that any agency may voluntarily comply earlier.

APPENDIX A — ELECTED TECHNOLOGY LEADERSHIP: STRUCTURAL OVERVIEW

The following summarizes the three-tier elected technology governance hierarchy established by this Act:

Secretary of Technology (Statewide — Sec. 4.1)

Elected by: All California voters, statewide

Term: 4 years, 2-term limit, first elected November 2026

Qualifications: 7 years technology/policy experience

Key powers: Heads CDT; sets statewide AI policy; issues binding cease orders; supervises county and municipal officers; publishes Annual Accountability Report; coordinates with AG

Analogous to: California Attorney General

County Technology Supervisor (County — Sec. 4.2)

Applies to: Counties with populations exceeding 100,000

Elected by: Countywide voters, at county consolidated election

Term: 4 years, 2-term limit

Qualifications: 5 years technology/policy experience

Key powers: Audits county AI systems; reviews county tech contracts; resolves resident complaints; issues county compliance orders; supervises municipal officers

Analogous to: County District Attorney

Municipal Director of Technology (City — Sec. 4.3)

Applies to: Incorporated cities with populations exceeding 10,000

Elected by: Citywide voters, at municipal election

Term: 4 years, 2-term limit

Qualifications: 3 years technology/public administration experience

Key powers: Audits city AI systems; posts city tech contracts publicly; operates resident complaint process; holds community meetings; issues city compliance orders

Analogous to: City Prosecutor / City Attorney (elected)

Checks and Balances Among Levels

Each officer has independent jurisdiction within their territory and is directly accountable to local voters.

Higher-level officers may assume jurisdiction when lower-level officers fail to act, face conflicts of interest, or where a matter transcends local boundaries.

The Inspector General for Technology (appointed, Sec. 11) provides independent oversight of all three elected levels, ensuring no elected officer is above accountability.

The Algorithmic Civil Liberties Review Board (appointed, Sec. 6) provides nonpartisan constitutional review independent of any single elected officer.

— *END OF BILL TEXT* —

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